

lululemon to acquire MIRROR





This presentation includes statements relating to the acquisition and the Company's business plans, objectives, and expected results that are "forward-looking statements" within the meaning of the Private Securities Litigation Reform Act of 1995, Section 27A of the Securities Act of 1933 and Section 21E of the Securities Exchange Act of 1934. In many cases, you can identify forward-looking statements by terms such as "may," "will," "should," "expects," "plans," "anticipates," "outlook," "believes," "intends," "estimates," "predicts," "potential" or the negative of these terms or other comparable terminology. These statements are based on management's current expectations but they involve a number of risks and uncertainties. Actual results and the timing of events could differ materially from those anticipated in the forward-looking statements as a result of risks and uncertainties, which include, without limitation: that the potential benefits and synergies sought in the acquisition may not be fully realized, if at all; that the Company may need to use significant resources to respond to a resurgence in COVID-19 cases; that the Company will incur significant costs in connection with the acquisition, which could limit its operating flexibility and ability to take responsive actions to current and future economic uncertainty; that the Company's current management team has limited experience in addressing the challenges of integrating the management teams, strategies, cultures and organizations of the two companies; that the acquisition may not be well received by customers or employees of the two companies; that the acquisition may not be completed in a timely manner or at all; and other risks and uncertainties set out in filings made from time to time with the United States Securities and Exchange Commission and available at www.sec.gov, including, without limitation, its most recent reports on Form 10-K and Form 10-Q. You are urged to consider these factors carefully in evaluating the forward-looking statements contained herein and are cautioned not to place undue reliance on such forward-looking statements, which are qualified in their entirety by these cautionary statements. The forward-looking statements made herein speak only as of the date of this press release and the Company undertakes no obligation to publicly update such forward-looking statements to reflect subsequent events or circumstances, except as may be required by law.



There's something special about lululemon—a well-informed intuition

We listen deeply to our guests, ambassadors, and our collective

We developed our five-year vision and strategy understanding the future, and the opportunity to:

- Integrate both digital and physical experiences
- Recognize the power of versatile sweat activities
- Bring together physical, social and emotional health

Our five-year strategic roadmap was built around these premises.

We have invested in this future -- through omni experiences, our partnership with MIRROR in 2019, digital sweat offerings, and a dynamic channel infrastructure

We are seeing these trends accelerate to create a structural change, and we're ready

MIRROR is an important step in our strategy and creating the future of the sweatlife



MIRROR overview

Known for

Innovative in-home interactive fitness studio experience

Versatile fitness and activity offering

Energized community and influencer buzz

Powerful and scalable content platform

What they're doing well

Lean and efficient revenue-generating operating model

Compelling value proposition

Strong online channel sales and marketing

lululemon + MIRROR partnership

lululemon made initial investment in MIRROR in mid-2019

MIRROR launched Meditation content vertical with lululemon Global Ambassador Gabby Bernstein in January





MIRROR overview: Key stats

2018

Launched Sept
2018 in NY by
Brynn Putnam

\$100M+

2020 revenue
run rate

50%

Female / male
demographic

70+

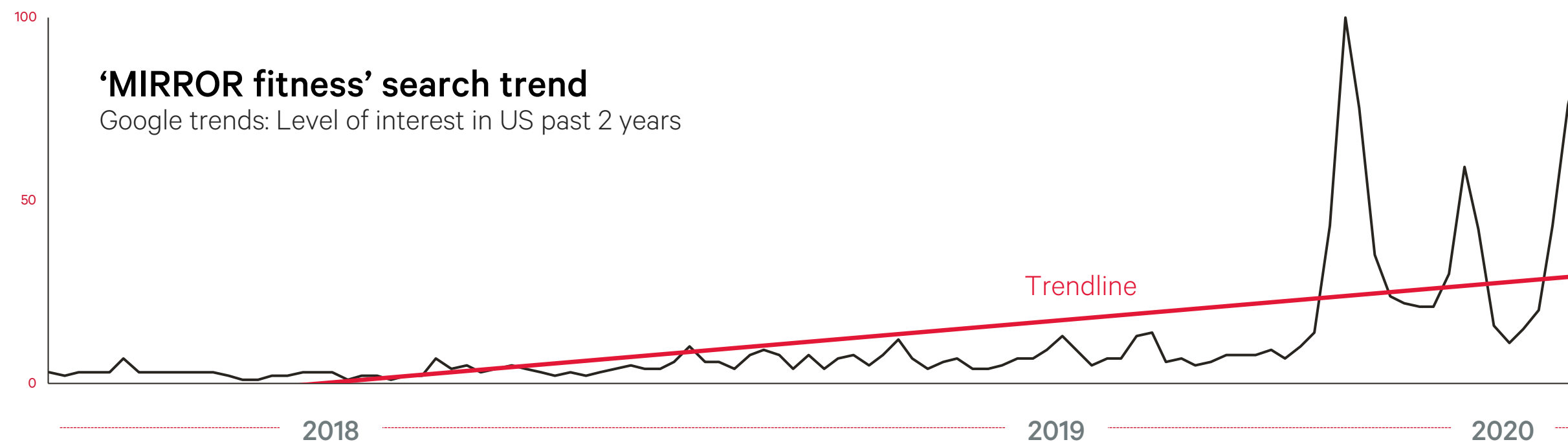
New classes
per week

40+

Class types

10%

Familiar with
product





Our Vision

Be the experiential brand that **ignites**
a **community** of people **living the sweatlife**
through **sweat, grow and connect**





The Power of Three

Innovative products

Men's:
double

Omni guest experiences

Digital:
double

Expand markets

International:
quadruple



Omni guest experience and digital sweatlife have been key to our strategic roadmap



Digital content is changing **how and where** our guests sweat, grow and connect

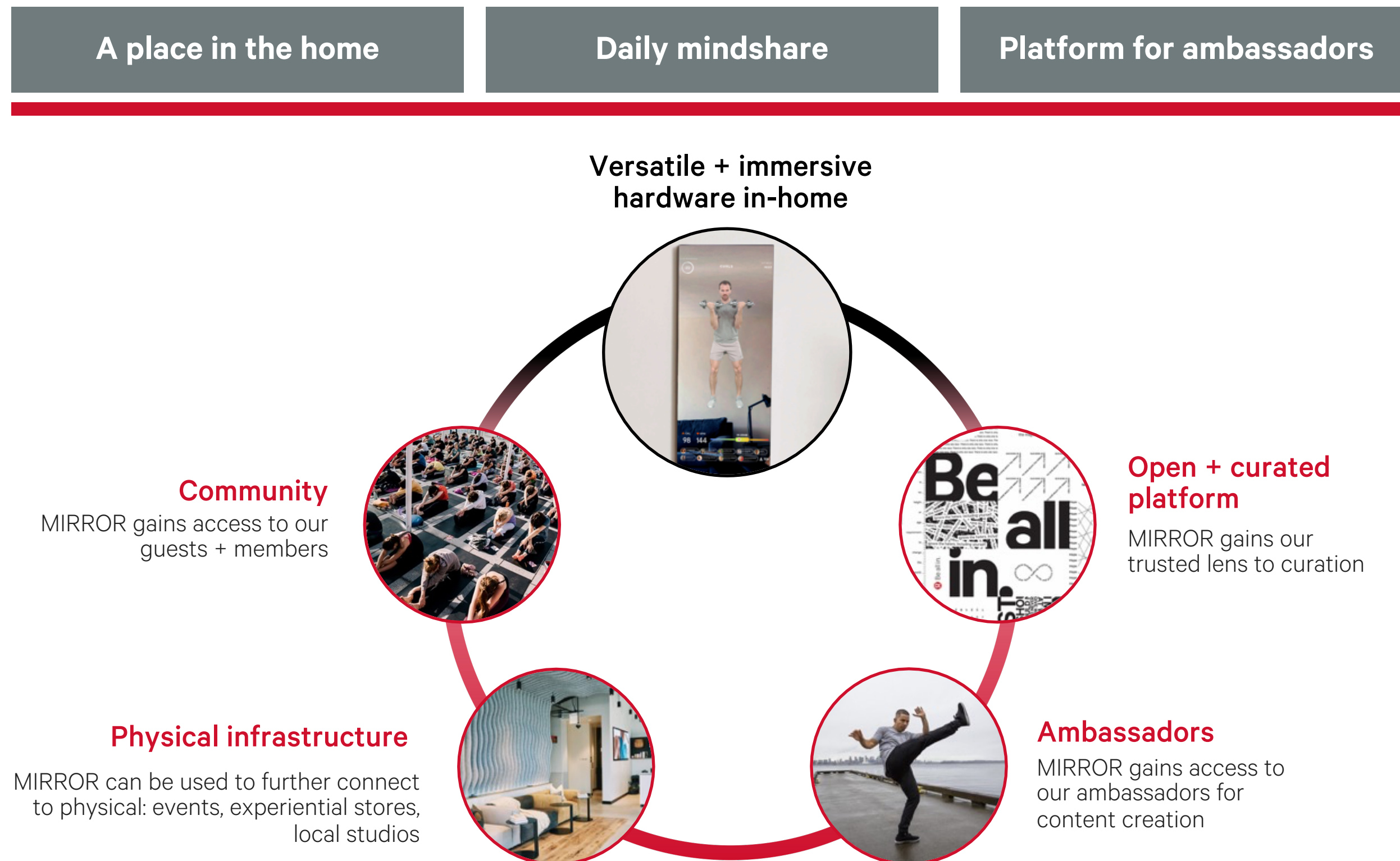


Digital content is changing **studio and trainer models** for our Ambassadors

- 1 Support our community vision**
To foster connection among people in the practice of the sweatlife, inspired by our ambassadors, in a seamless physical and digital journey
- 2 Scale the sweatlife**
Reach more of our guests and future guests with the power of our community
- 3 Bolster our competitive advantage**
Modernize our grass roots marketing
- 4 Accelerate Membership growth**
Integrate a digital solution to enable faster expansion

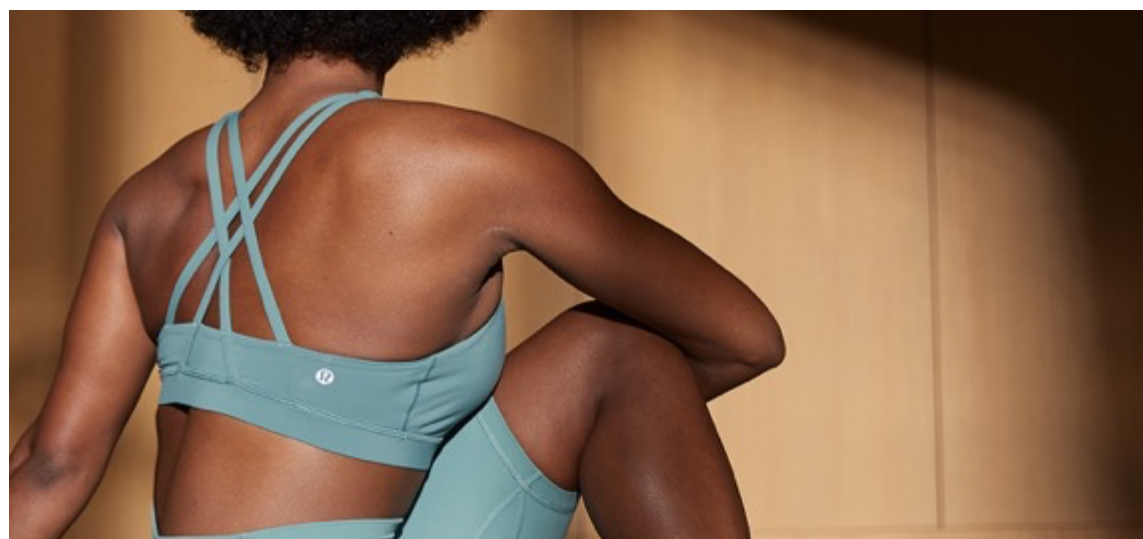


MIRROR unlocks the ecosystem of our omni assets to create new sweatlife experiences





Synergies with MIRROR and lululemon



What we can bring to MIRROR

- Access to our large, growing and loyal guests
- Leverage distribution channels to scale growth
- Utilize marketing channels to lower guest acquisition costs
- Expand talent through our unique Ambassador community
- Reduce consideration barriers with strong brand credibility
- Lead generation from our most engaged guests



What MIRROR can bring to lululemon

- Expand and innovate our omni guest experiences
- Dynamic platform to enhance and scale guest offerings
- Accelerate monetization of digital sweat
- Create immediate revenue stream with a path to profitability
- Amplify lululemon ambassadors and creates community
- Establish product integration opportunities



Deal related financials

Purchase price

\$500 million*

Financing

Paid from the company's \$1.5 billion of liquidity
>\$800 million cash, \$400 million existing revolver, \$300 million new revolver

Closing

Within the next 1-2 weeks



MIRROR: on track to generate in excess of \$100 million in revenue in 2020.

Transaction is modestly dilutive in 2020 and modestly profitable in 2021 (excluding deal related costs)

No change to the revenue or EPS outlook we provided on our Q1 conference call.

*Subject to certain adjustments at closing.



Summary

MIRROR brings a **content platform** that connects our **sweatlife ecosystem**, and integrates our strong assets

MIRROR allows us to offer **new omni experiences** to our guest and support them to live the sweatlife in new ways

lululemon can **bring significant awareness** to MIRROR, through our marketing and distribution channels: helping them grow and reduce customer acquisition costs

Our vision and Power of Three plan has not changed: **MIRROR growth adds to the potential**

We have the **financial strength and liquidity** to complete this transaction and continue to run our business day to day and plan for contingencies

